Marking Criteria

Year 12 Business Studies Assessment Task – Term 4 2012

Question 1

Suggested answers
How are the operations of a business interdependent on ONE other key business functions? **2**
2 marks: Students must write about the interdependence of operations with Marketing or HR or A&F **Answers could include:** Operations/Marketing – ops meet demand of g/s generated by marketing. Make g/s to specifics of marketing. Marketing ensure Ops briefed on promotion strategies etc Ops/HR – HR provide ops with workers, training etc. Ops communicates with HR in terms of job specification to meet their needs Ops/ A & F: A&F supply cash flow for inputs, capital etc. Ops ensure there is efficiency in order to support profitability etc.
Explain how using the strategic approach to differentiation of a good/service may impact upon a business' performance objectives.
4 marks: Comprehensively relates the cause and effect of how differentiation of g/s impacts upon performance objectives (must do impact on at least 2 objectives) **3 marks:** Provides characteristics and features of how differentiation of g/s impacts upon performance objectives or explains only 1 objective **2 marks:** Sketches in general terms how differentiation of g/s impacts upon performance objective/s **1: mark:** identifies 2 objectives **Answers could include:** Must clearly explain how a business can differentiate their g/s from their competitors in order to benefit their performance objectives (quality, speed, dependability, flexibility, customization and cost) Eg: Apple differentiates the mobile phone with Iphone 5 from other Androids. Through the use of Apps – individuals can customize the look of their phone, they respond to market changes with speed and would argue they have a quality product which is also dependable **Markers Comment:** The best answers demonstrated a sound knowledge of differentiation and how it is used as a competitive advantage. Students needed to show how (cause & effect) differentiation impacted upon more than one objective as the question asked for objectives – which is plural! Some students got 3 out of 4 because whilst they mentioned two objectives they did not explain the link for two.

Question 2

Suggested Answers & Criteria

a) Describes THREE influences that have impacted on SOLARITE

Answers could include:

- government policies
- legal regulations
- quality expectations
- technology

Criteria

2 marks: Naming of correct influence and description of impact on Solarite
1 mark: If name influence with no description of impact.

Markers Comment: Most students were able to give the correct influences re the stimulus material on SOLARITE and received 2 marks per answer if they named the correct influence and described how the influences impacted on SOLARITE.
The BEST influences were: Technology
Quality expectations
Government policies
Environmental sustainability
Corporate social responsibility.

Some students referred to cost based competition but this influence DID NOT relate to the given stimulus. The best answers related how the influence impacted on Solarite and were able to show impacts such as:
Government policies - subsidies or grants enhanced Solarite's ability to produce such leading edge technology (the latest and most innovative) in the development of the solar panels.
OR
Quality expectations – This was a problem for Solarite as they were taking a long time to repair products under warranty and showed a lack of quality when consumers had paid a high price. They expected much higher quality and performance from such a company. Would have decreased consumer confidence in Solarite and resulted in loss of sales as consumers look elsewhere for their solar panels.

b) Discusses impacts of business embracing corporate social responsibility.

Answers could include:

Need to defines corporate social responsibility and show advantages and disadvantages of a business embracing corporate social responsible behavior.
CSR refers to open and accountable business actions based on respect for community/society and the broader environment and involves doing more than just complying with laws and regulations. Decision making is not just about profit but reflects community concerns and social expectations.
Advantages: Improved public perception, environmentally friendly etc

Disadvantages: Costs more, may decrease profits initially etc.

Criteria
4 marks: defines CSR and provides 2 advantages and disadvantages
3marks: defines CSR and provides 2 disadvantages OR advantages
2 marks: No definition of CSR just gives advantage and disadvantage
1 mark: advantage or disadvantage only

Markers Comment: DISCUSS was the descriptor used in this question about Corporate Social Responsibility. It is VERY IMPORTANT that your answers are as specific as possible. A definition was needed for CSR first then at least 2 advantages and 2 disadvantages should have been given. It isn't enough to say Ronald McDonald House is an example of CSR. Why???
Advantages of being CSR: good reputation/ public image/attract better HR/ increase sales- increased profits
Disadvantages: Cost/ time to change over production methods/ decreased profits etc.
The more specific you can make any of your short answers the better your mark will be. Overall most students did well in this section of the paper and really knew the impact of CSR.

Question 3

Suggested answers & Criteria

a) **Distinguish between transformed and transforming resources and provide an example of EACH in the context of the stimulus above.**

Transformed Resources: These are inputs that are *changed or converted* in the operations process.

Examples that are relevant to the stimulus include

(Materials – cooking ingredients)
Information – ?
Customers - customer special orders or requests from the menu)

Transforming Resources: These are resources used in the production process that are used to *transform other resources, but are not themselves part of the finished product.* (Human Resources and Facilities)

Examples that are relevant to the stimulus include:

(Human Resources – cooks)
Facilities – cooking utensils, kitchen equipment)

How marks are allocated

1 mark: For each correct definition
1 mark: For each correct example

Marker Comment: Many students failed to provide an accurate distinction (make the differences clear) between transformed and transforming. Often their terminology in regards to defining these terms was weak. Most students could give examples which was pleasing.

b) **Identify which influence on the transformation process is most relevant to Wong Tong's decision to cook in front of the customers and explain ONE implication this decision may have on the operations process**

Influence: Visibility (customer contact)

Implication: As the customers will now be direct witnesses to the operations processes this will encourage

- Greater standards of hygiene and cleanliness in the preparation of and cooking of the food
- Greater operational health and safety concerns regarding the proximity of the customer to boiling hot food preparation. Steps will need to be taken to ensure the customers are safe.

How marks are allocated

2 marks: For showing cause and effect due relating to the impact of this decision on the operations process.

Logical answers that lead from the decision to the impact accepted.
1 mark: for correctly identifying visibility as the influence on operations

Marker Comment: Many students incorrectly assumed that this was a question about influences because that word appeared in the question. It actually referred to the "influences on the transformation process" in the syllabus.

Also, many students did not show adequate cause and effect between the decision that had been made to relocated the cooking and the impact on some aspect of the operations process. Often their answers assumed a link without really proving a strong link.

c) **Define the term warranty and explain ONE potential benefit to a company that decides to issue one.**

A warranty is a legally-binding guarantee provided by a business that states that the product meets certain standards or possesses certain attributes. If the product fails to meet these guarantees then they will repair or replace the product free of charge.

Potential benefits include for a business include:

1) Convincing the customer to select your product as a result of the more comprehensive nature of your warranty relative to competitors. (i.e. using the warranty as a differentiator in the marketplace).
2) The warranty allows the business to receive feedback regarding the quality of their production. This feedback allows the business to improve the quality of its product and therefore gain a reputational advantage in quality over time. This would lead to improved sales longer term.

How marks are allocated
2 marks: for showing cause and effect relating to the benefits of a warranty for the business.
Logical answers that lead from the warranty to the benefit accepted.
1 mark: for providing an accurate definition of the term warranty

Marker Comment: Most students were able to define warranty accurately however some students got side tracked and talked more about the benefits of warranties to customers rather than the business as indicated in the question.

Question 4

Suggested Answers & Criteria
a) Describes TWO operations performance objectives that Stig should aim to achieve given the influences on the business

Answers could include:

- Quality
- Speed
- Flexibility
- Customisation
- Cost

Sample answer: Stig should be aiming to achieve cost reductions in the business. Whilst he is a producer of top end, quality furniture, he is under pressure from genuine competitors who can produce similar quality at a cheaper cost than him. His costs are high as he purchases in Australia – maybe he could look at global sourcing to reduce cost! By reducing costs he can improve sales and profit margins. He may also focus on speed. Speed can refer to how fast furniture is made in the production process, although in this case Stig should look at speed from the view of reducing lead times. He needs to get furniture to sellers/customers more quickly, effectively reducing lead times to compete against the Brazilian business.

Criteria
3/4 marks: identifies objective and provides detailed characteristics and features of TWO objectives that are relevant to Stigs business

1/2 marks: may identify TWO objectives and outline OR provide detailed features of ONE objective but there may not necessarily be a clear relationship with Stigs business

Marker Comment: Students did a pretty good job in this question identifying performance objectives. Some students fell down by not providing characteristics/features. They only listed/outlined cost being a competitive issue. Others hid the key terms in their answer and therefore the structure of their answer hindered their ability to get marks. Some went for the less obvious objectives which were not necessarily relevant to the stimulus presented.
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b) Discuss the use of outsourcing for Stig's business.

Answers could include:

Benefits such as reduced cost, specialization and quality of suppliers of goods/services
Disadvantages such as: loss of control over supplies, loss of coporate memory

Criteria
3/4 marks: Student provided points for and against using outsourcing as a strategy
1 / 2 marks: Student provides features of outsourcing and may provide either a benefit or disadvantage

Markers Comment: Students generally had a handle on the concept of outsourcing and most could describe advantages and disadvantages of outsourcing. However, there were some common misconceptions such as:

- Students confused outsourcing with global sourcing and discussed efforts by Stig to purchase inputs from overseas

Students also said that he should outsource his manufacturing yet this was the core function of the business….it was what made his furniture unique, although if they said he should focis on design and outsource manufacturing, I paid it...better answers identified non core activities to be outsourced.

c) Analyse how the strategy of quality management assists businesses to sustain a competitive advantage

Answers could include:

Quality management involves adopting a total approach (TQM) to the management of quality ensuring that all stages of production of a good or service have built in quality assurance (pre-determined structures and quality indicators), control (check built into the transformation process) with a focus on continual improvement in the business. Quality management can assist a business to maintain a competitive advantage (any advantage over rivals such as in cost, reputation or sales) by providing consumers with a dependable good that is fit for purpose. For example, defect free goods result in less returns and warranty repairs hence reducing costs and providing firms an advantage in cost leadership. A good reputation can also be established if the product is dependable as a result of quality processes and repeat sales can be generated making a firm preferred over others.

Criteria

5/6 marks: Student clearly defines quality management and demonstrated the implications for a firms competitive advantage of ensuring quality management principles
3/4 marks: Student provides features of quality management and may provide a basic link to notions of a competitive advantage
1/2 marks: Student sketches in basic terms the concept of quality management and may provide a feature of competitive advantage

Markers Comment: Students struggled with this question, particularly in their ability to make clear and logical links between the quality management principles and the idea of competitive advantage. Was hoping students would demonstrate an understanding of quality management principles and then make links to areas of competitive advantage such as reduced costs, increased sales due to dependability and reputation – but you need to say why these advantages occur. Typically a lot of students:

- Defined quality management aspects (assurance, control & improvement) this got them 3 marks
- Some made a statement about an aspect of competitive advantage linked to these principles – 4 marks

- Students that gave more links, clearer links or were more logical and structured accessed 5 or 6)